FINANCIAL ANALYSIS COURSE · STUDY NOTES

Basics of Accounting

Part 2: Basic Accounting Terms, Principles, Concepts and Conventions

Capital · Liabilities · Assets · Expenditure and Income
Trade Terms · Discounts · Accounting Concepts · Conventions

What these notes are. A detailed, explanatory rewrite of the lecture notes on *Basics of Accounting* Parts 2_A, 2_B and 2_C. They continue directly from Part 1 (meaning, functions and cycle of accounting). Every idea in the lecture notes is covered, in sequence, with definitions, formulas, worked examples and case studies, followed by an integrated case study, a glossary, revision sheets and a self-test.

October 2026

About These Notes

What Part 2 covers and why it matters

Part 1 explained what accounting is and how transactions flow through the accounting cycle. Part 2 supplies the **vocabulary and the rulebook** that every later topic depends on. Those later topics (the accounting equation, the rules of debit and credit, journal entries, the ledger and the trial balance) cannot be understood without the terms and principles below.

Part	Content	Lecture
I	Capital, drawings, liabilities (and their classification), business transaction vs. event, assets (and their classification), how capital, assets and liabilities relate	2_A
II	Expenditure (capital vs. revenue), expense, prepaid and outstanding expenses, income, revenue, profit, gain, loss, purchases, sales, returns, stock, inventory, bills, debtors, creditors, bad debts, insolvency, trade and cash discount	2_B
III	Accounting principles and GAAP; eight accounting concepts; four accounting conventions	2_C
IV	Integrated case study, glossary, revision sheets, self-test with answers	all

Colour-coded boxes

Definition: Blue box

Formal definitions. Learn these word for word.

Key Idea

Green box: the one-line takeaway of a topic, often the question the topic answers.

Important

Amber box: rules, warnings, traps, and "modern terminology" clarifications.

Example: Purple box

Worked examples with numbers.

Case Study: Teal box

Case studies that tie several ideas together.

Conventions

Amounts are in Indian Rupees (₹) with Indian digit grouping (₹5,00,000 is five lakh). Where an example is not from the lecture notes, its assumptions are stated openly.

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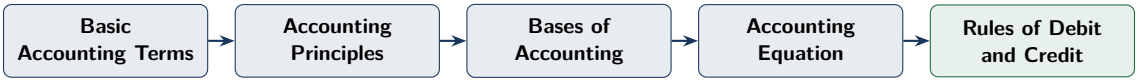
Part I (Lecture 2_A)

Capital, Drawings, Liabilities and Assets

The terms that describe what a business owns, what it owes, and what belongs to its owner

1 Basic Accounting Terms: Where This Fits

This lecture begins the next major section of the course, **Basic Accounting Terms**. These terms are essential because later topics depend on understanding them precisely. The sequence indicated in the course material is:



Where each step is covered in these notes

Basic accounting terms are Parts I and II below (lectures 2_A and 2_B). **Accounting principles** are Part III (lecture 2_C). Bases of accounting, the accounting equation (introduced informally here) and the debit–credit rules come in the following lectures.

Part I introduces four families of terms: *capital*, *drawings*, *liabilities* and *assets*. It also separates a *business transaction* from an *event*.

2 Capital

2.1 Meaning

Definition: Capital

Capital is the amount invested by the proprietor (owner) in a business. It represents the **owner's financial interest** in the business.

Capital may also be described as:

- **Owner's equity**,
- **Net worth**,
- **Net assets**.

At a basic level capital is what is left for the owner after the business has covered its obligations to outsiders:

$$\boxed{\text{Capital} = \text{Assets} - \text{Liabilities}} \quad \Longleftrightarrow \quad \boxed{\text{Assets} = \text{Liabilities} + \text{Capital}}$$

The second form is the **basic accounting equation** as given in this lecture.

Example: Owner starts a business

The owner starts a business by investing ₹5,00,000 in cash. Then assets (cash) rise by ₹5,00,000 and capital rises by ₹5,00,000:

$$\text{Assets} = ₹\,5{,}00{,}000, \qquad \text{Liabilities} = ₹\,0, \qquad \text{Capital} = ₹\,5{,}00{,}000,$$

$$₹\,5{,}00{,}000 = ₹\,0 + ₹\,5{,}00{,}000.$$

2.2 Capital as the owner's claim

Capital is not simply "cash put into the business". Once the money is invested, the *business* owns the resulting resources, while the *owner* has a **claim (equity interest)** in the net assets of the business.

Example: Cash turned into machinery

An owner contributes ₹10 lakh and the business uses it to buy machinery. The owner's capital is *still* ₹10 lakh initially. What has changed is the **form of the business's assets** (from cash to machinery), not the owner's claim.

Key Idea

Capital is a **claim**, not a particular asset. The assets may change form many times while the owner's claim stays the same, until profit, loss, drawings or additional investment change it.

3 Drawings

3.1 Meaning

Definition: Drawings

Drawings are cash, goods or other business resources withdrawn by the owner for **personal use or private purposes**.

Examples

- The owner withdraws ₹20,000 cash for personal expenses.
- The owner takes inventory worth ₹5,000 home for personal use.
- The business pays a personal expense of the owner.

These withdrawals **reduce the owner's equity** in the business.

3.2 Relationship with capital

$$\boxed{\text{Closing Capital} = \text{Opening Capital} + \text{Profit} - \text{Drawings} + \text{Additional Capital}}$$

Drawings are not a business expense

Drawings are **not** an expense in the usual sense. They are a **withdrawal of the owner's interest** from the business. They therefore do not enter the calculation of profit; they are deducted from the owner's capital instead.

Example: Effect of drawings

Opening capital ₹5,00,000; drawings ₹50,000. Ignoring profit and additional capital:

$$\text{Closing Capital} = 5{,}00{,}000 - 50{,}000 = ₹\,4{,}50{,}000.$$

Item	Effect on owner's equity	Why
Additional capital introduced	Increases	Owner puts more into the business
Profit for the period	Increases	Business has earned more than it spent
Loss for the period	Decreases	Business has spent more than it earned
Drawings	Decreases	Owner takes resources out for private use

4 Liabilities

4.1 Meaning

Definition: Liability

A **liability** is an amount or obligation that the business **owes to outsiders** or otherwise has an obligation to settle.

Examples: loans, creditors (trade payables), outstanding wages, outstanding expenses and other financial obligations.

$$\boxed{\text{Liability} = \text{Amount or obligation owed by the business}}$$

Example: Bank loan

The business borrows ₹2,00,000 from a bank. It receives ₹2,00,000 in cash, but at the same time has an **obligation to repay the bank**. Therefore Liability = ₹ 2,00,000.

5 Classification of Liabilities

The lecture classifies liabilities in two different ways. The two systems answer *different questions*.

Basis	Question answered	Categories
A. To whom payable	Who is the claimant?	Internal liabilities; external liabilities
B. When payable	How soon must it be settled?	Current liabilities; non-current liabilities

5.1 Internal liabilities

In the terminology of the lecture, **internal liabilities** are amounts attributable to the **proprietor / owner(s)**. In basic accounting the owner's claim is represented by **capital / equity**, so the lecture uses "internal liability" for the amount the business owes or attributes to its owners.

Example: Internal liability

Owner's capital of ₹1,00,000 represents the owner's claim on the business.

Modern terminology

In contemporary financial reporting the owner's claim is classified as **equity**, not as a liability to external creditors.

$$\boxed{\text{Owner's claim} = \text{Equity}} \qquad \boxed{\text{External obligations} = \text{Liabilities}}$$

5.2 External liabilities

External liabilities are obligations that the business owes to **outsiders**. Examples: bank loans, trade creditors, outstanding expenses and other amounts payable.

Example: Supplier on credit

The business owes ₹75,000 to a supplier for goods purchased on credit. Trade payable = ₹ 75,000. It is an external obligation because it is payable to a party outside the ownership of the business.

5.3 Current and non-current liabilities

This classification is based on **maturity (payment period)**.

	Current liabilities	Non-current liabilities
Meaning	Obligations expected to be settled within the short-term operating cycle, or generally **within one year**	Obligations *not* expected to be settled within the current short-term period, commonly those payable **after more than one year**
Lecture's simple rule	Liabilities to be paid within 1 year	Liabilities to be paid after more than 1 year
Examples	Trade payables, short-term borrowings, outstanding salaries, outstanding expenses, other short-term obligations	Long-term bank loans, long-term borrowings, long-term debt obligations

A note on the one-year rule

The precise definition of "current liability" under formal accounting standards can involve conditions beyond simply "one year". For this introductory course the one-year distinction is the useful basic rule.

5.4 Case study: classifying liabilities

Case Study: Mr. X

Mr. X invests ₹10,000 in his business and takes a loan of ₹25,000 from SBI Bank for **10 years**. He then purchases goods worth ₹2,000 from Mr. Y on credit for **2 months**. Classify each amount.

Transaction 1: owner invests ₹10,000. This is the owner's contribution, so Capital / Owner's equity = ₹10,000. In the lecture's terminology it is an *internal liability*; in modern accounting it is *equity*.
Transaction 2: SBI loan of ₹25,000 for 10 years. The business owes the bank, so it is an **external** liability. It is due over 10 years, so it is a **non-current** liability.
Transaction 3: credit purchase of ₹2,000 from Mr. Y for 2 months. The business owes Mr. Y, so it is an **external** liability. It is payable within 2 months, so it is a **current** liability.

Item	Amount	Classification
Owner's investment	₹10,000	Capital / equity (lecture term: internal liability)
SBI Bank loan	₹25,000	External + non-current liability
Credit purchase from Mr. Y	₹2,000	External + current liability

Key Idea

The same liability carries **two classifications at once**, one from each system, for example *External + Current* or *External + Non-current*, because the two systems measure different dimensions (*who* is owed, *when* it is due).

5.4.1 The two classifications side by side

	Current (due within 1 year)	Non-current (due after 1 year)
External (owed to outsiders)	Trade payables, outstanding expenses, short-term loans	Long-term bank loan (e.g. the SBI loan)
Internal (owner's claim)	—	Capital / equity (in modern terms, equity is not a liability at all)

6 Business Transaction versus Event

The lecture introduces an important conceptual distinction.

6.1 Business transaction

Definition: Business transaction (as defined in this lecture)

A **business transaction** is an economic activity of the business that **changes its financial position** and can be **expressed in monetary terms**.

It therefore has (1) a financial effect on the business and (2) a measurable monetary value. Examples: purchase of goods, sale of goods, purchase of machinery, payment of salary, receipt of cash, borrowing from a bank.

6.2 Event

An **event** is the **result or consequence of a transaction**.

Example: Purchase and sale

Goods are purchased for ₹2 lakh and sold for ₹2.5 lakh.
Transactions: (1) purchase of goods for ₹2 lakh; (2) sale of goods for ₹2.5 lakh.
Event / result: the difference, $2.5 - 2 = ₹\,0.5$ lakh, so **Profit** $= ₹\,50{,}000$. The lecture calls this profit the *event (result) arising from the transactions.*

$$\text{Business transactions} \rightarrow \text{Changes in accounts} \rightarrow \text{Financial result}$$

So transactions are the economic activities, and events or results may arise from them.

A broader meaning of "event"

In broader accounting terminology, "event" can have a **wider meaning** than the narrow definition in the lecture. It may include any economic occurrence that affects the financial statements even when it is not a conventional exchange transaction. For this course remember the lecture's distinction, while keeping the wider meaning in mind.

Link to Part 1

In Part 1 a business transaction was an economic event that is measurable in money and has a financial effect on the business. The two definitions agree. Part 2 adds that the *result* of transactions (such as profit) is called an event.

7 Assets

7.1 Meaning

Definition: Asset

An **asset** is a valuable **economic resource controlled by a business** as a result of **past events**, from which **future economic benefits** are expected.

The lecture gives a simpler formulation: *assets are valuable resources owned by businesses that are acquired at a measurable monetary cost.* Examples given: cash, land, furniture. Others: buildings, machinery, inventory, trade receivables, vehicles, computers.

7.2 Important characteristics of assets

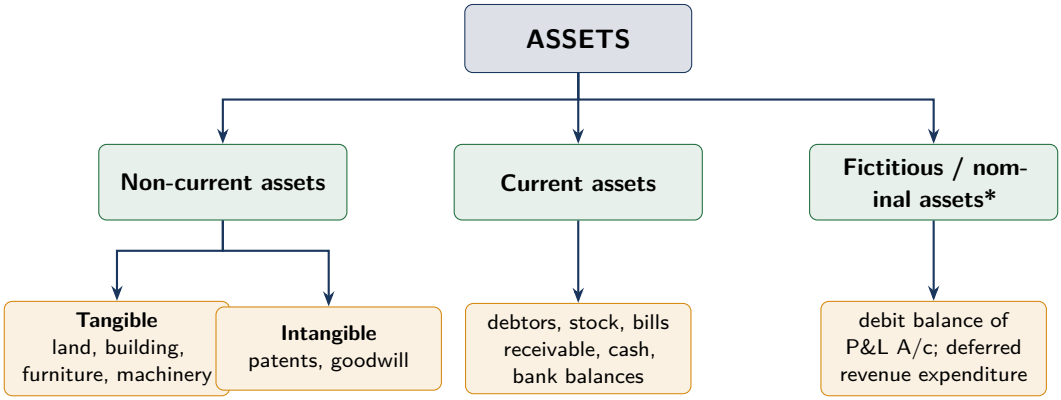
#	Characteristic	Explanation
1	Provides economic value	The resource has the capacity to provide future economic benefits
2	Controlled by the business	The business must have control over the resource
3	Arises from a past event or transaction	For example, a machine that was purchased earlier
4	Can be recognised and measured	It must satisfy the applicable recognition and measurement requirements

8 Classification of Assets

The lecture divides assets into **three broad categories**:

1. **Non-current assets**,
2. **Current assets**,
3. **Fictitious / nominal assets**.

It also divides non-current assets into **tangible** and **intangible** assets.



*Traditional accounting terminology; see Section 8.3.

8.1 Non-current assets

Definition: Non-current assets

Assets that are held for **continued use** in the business, particularly for producing goods or rendering services, and are **not intended for resale in the ordinary course of business**.

Examples given: land, buildings, furniture. **Others:** plant and machinery, office equipment, vehicles, computers used in operations.

$$\boxed{\text{Non-current asset} = \text{Long-term resource used in the business}}$$

(rather than inventory held primarily for sale).

Example: Use decides classification

A furniture manufacturer has a machine used to make furniture. The machine is a **non-current asset** because it is used to produce goods. The furniture manufactured for sale is generally **inventory**, a current asset. Classification depends partly on *how the resource is used* by the business.

8.1.1 Tangible assets

A **tangible asset** has a **physical existence**. Examples: land, buildings, furniture, machinery, vehicles, computers. A computer used by an office is tangible because it has a physical form.

$$\boxed{\text{Tangible} \Rightarrow \text{Physical form}}$$

8.1.2 Intangible assets

An **intangible asset** does **not have a physical form** but may still provide economic benefits. Examples given: patents, goodwill. Others: certain copyrights, trademarks, software rights or licences.

$$\boxed{\text{Intangible} \Rightarrow \text{No physical substance}}$$

A patent has no physical shape like machinery, but it provides economic benefits through legal rights.

8.1.3 Tangible versus intangible

Basis	Tangible assets	Intangible assets
Physical existence	Yes	No physical substance
Examples	Land, building, furniture, machinery	Patent, goodwill, certain copyrights and trademarks
Nature	Physical resources	Rights or benefits without physical form

Memory trick. Tangible = touchable. Intangible = cannot be physically touched.

8.2 Current assets

The lecture also calls current assets **floating assets** or **circulating assets**. They are generally assets that are **held for sale**, or **expected to be converted into cash or consumed in the short term** (commonly within one year in introductory classification).

Examples: debtors (trade receivables), stock (inventory), bills receivable, cash, bank balances, and short-term investments in appropriate classifications.

Current assets are associated with the **normal operating cycle and short-term liquidity** of the business.

8.2.1 Why "circulating"?

Because they continuously move through the operating cycle. For a trading business:



The resources **circulate through the business**, which is why the older teaching term "circulating assets" is used.

8.2.2 Example: current versus non-current

A company has ₹10 lakh of machinery used for manufacturing, ₹3 lakh of inventory held for sale and ₹2 lakh receivable from customers.

Item	Amount	Classification
Machinery	₹10 lakh	Non-current asset (tangible)
Inventory	₹3 lakh	Current asset
Trade receivables	₹2 lakh	Current asset

Key Idea

The classification does not depend on how *expensive* an item is, but on **how and for what purpose it is held**.

8.3 Fictitious / nominal assets

Definition: Fictitious (nominal) assets

Items that are neither tangible nor intangible assets in the normal sense but represent **losses or expenses that are yet to be written off**.

Examples given: debit balance of the Profit & Loss Account; deferred revenue expenditure.

Modern accounting clarification

"Fictitious asset" is a **traditional** accounting term. Such items generally do **not** meet the modern conceptual definition of an asset, because they do not necessarily represent a controlled resource from which future economic benefits are expected. Under modern standards think of them as *unamortised or deferred amounts, or losses, appearing on the asset side under older presentation*, not as genuine economic assets.

$$\boxed{\text{Fictitious asset} \neq \text{genuine economic asset}}$$

Why the name "fictitious"? They may appear in a traditional balance sheet alongside assets, but they do not represent ordinary resources such as cash, machinery, inventory or buildings. For instance, an amount that is *not immediately charged in full* to the profit and loss account under an older treatment may have its unamortised balance shown on the balance sheet. That balance is described as a "fictitious asset".

8.4 Overall classification of assets

Category	Meaning	Examples
I. Non-current assets	Resources held for long-term use in the business; further split into *tangible* and *intangible*	Land, building, furniture, machinery; patents, goodwill
II. Current assets	Resources expected to be sold, consumed or converted into cash in the short term	Debtors, stock, bills receivable, cash, bank
III. Fictitious assets	Traditional term for certain deferred or unwritten-off losses or expenses; not genuine assets under modern concepts	Debit balance of P&L; deferred revenue expenditure

9 Assets, Liabilities and Capital Together

9.1 Assets versus liabilities

Term	Meaning
Asset	What the business owns or controls, an economic resource
Liability	What the business owes or is obligated to settle

Example: Machinery bought with a bank loan

A company buys machinery for ₹5 lakh by taking a bank loan. Immediately, **asset**: machinery = ₹ 5,00,000; **liability**: bank loan = ₹ 5,00,000. Then Assets = Liabilities + Equity becomes 5,00,000 = 5,00,000 + 0.

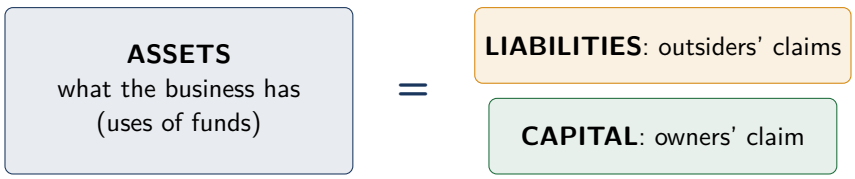
9.2 The core relationship

$$\boxed{\text{Assets} = \text{Liabilities} + \text{Capital}} \qquad \boxed{\text{Capital} = \text{Assets} - \text{Liabilities}}$$

Everything the business has obtained can broadly be financed by only two sources:

1. **Owners' funds** → capital / equity;
2. **Outsiders' funds** → liabilities.

$$\boxed{\text{Resources of business} = \text{Owners' claim} + \text{Outsiders' claims}}$$



9.3 Important relationships to remember

Relationship	Statement
Capital	Capital = Owner's equity
Net worth	Net worth = Assets − Liabilities
Accounting equation	Assets = Liabilities + Capital
Profit and capital	Profit ↑⇒ Equity ↑
Loss and capital	Loss ↑⇒ Equity ↓
Drawings and capital	Drawings ↑⇒ Equity ↓

9.4 An integrated example

Example: Four transactions and the equation

1. The owner invests ₹5,00,000: cash +5,00,000; capital +5,00,000.
2. The business takes a *long-term* bank loan of ₹2,00,000: cash +2,00,000; loan liability +2,00,000.
3. Goods worth ₹1,00,000 are bought *on credit*: inventory +1,00,000; trade payable +1,00,000. Total assets and total liabilities both rise by ₹1,00,000.
4. The owner withdraws ₹20,000 cash: cash −20,000; drawings ₹20,000, so owner's equity falls by ₹20,000.

After step	Assets	Liabilities	Capital	Check
1	5,00,000	0	5,00,000	5,00,000 = 0 + 5,00,000
2	7,00,000	2,00,000	5,00,000	7,00,000 = 2,00,000 + 5,00,000
3	8,00,000	3,00,000	5,00,000	8,00,000 = 3,00,000 + 5,00,000
4	7,80,000	3,00,000	4,80,000	7,80,000 = 3,00,000 + 4,80,000

(Amounts in ₹; capital in step 4 is shown after deducting drawings. The step-wise totals are computed from the lecture's four transactions.)

9.5 Terminology cautions

Traditional versus modern usage

- **"Internal liability"**: traditional texts use it for the owner's claim. For modern clarity: the owner's claim is **equity**, not an external liability.
- **"Fictitious asset"**: a traditional term; do **not** read it as a genuine asset under modern concepts.
- **"Assets owned"**: a more precise modern idea is that an asset is a resource **controlled** by the entity, rather than merely something legally "owned".

9.6 Quick revision table

Term	Core meaning	Examples
Capital	Owner's investment or claim in the business	Owner invests cash
Drawings	Withdrawal of cash, goods or resources by the owner for personal use	Cash withdrawn for personal expenses
Liability	Obligation of the business	Loan, creditor
Internal liability*	Owner's claim in traditional terminology	Capital
External liability	Amount owed to outsiders	Bank loan, trade payable
Current liability	Short-term obligation	Trade payable, outstanding expense
Non-current liability	Long-term obligation	Long-term bank loan
Asset	Economic resource controlled by the business	Cash, land, machinery
Non-current asset	Long-term resource used in business	Machinery, building
Tangible asset	Asset with physical form	Furniture, computer
Intangible asset	Asset without physical form	Patent, goodwill
Current asset	Short-term operating or liquid resource	Inventory, receivables
Fictitious asset*	Traditional term for deferred or unwritten-off amounts	Debit balance of P&L

*Traditional terminology; modern financial reporting may classify these differently.

9.7 Exam-oriented points for Part I

Definition: Capital

The amount invested by the proprietor / owners in the business; it represents the owner's equity or residual interest in the business.

Definition: Drawings

Cash, goods or other business resources withdrawn by the proprietor for personal or private purposes.

Definition: Liability

An obligation of the business to outsiders, or another obligation requiring settlement.

Definition: Asset

A resource controlled by the business as a result of past events, from which future economic benefits are expected.

Question	Answer in one line
State the accounting equation	Assets = Liabilities + Capital
Classify liabilities by claimant	Internal (owner's claim) and external
Classify liabilities by settlement period	Current and non-current
Classify assets	Non-current, current, and the traditional fictitious / nominal category
Classify non-current assets further	Tangible and intangible

Key Idea

Core takeaway of Part I. A business's resources (**assets**) are financed by the claims of **outsiders (liabilities)** and **owners (capital / equity)**: Assets = Liabilities + Capital. Drawings reduce the owner's equity; liabilities are classified by *whom* they are owed to and by *maturity*; and assets by *use*, *liquidity* and *physical nature*.

Part II (Lecture 2_B)

Expenditure, Income and Trade Terms

Expenditure, expense, income, revenue, profit, gain, loss; purchases, sales, stock, bills, debtors, creditors, bad debts and discounts

10 Introduction to Part II

Part I introduced capital, drawings, liabilities and assets. Part II continues with another set of fundamental terms:

Expenditure, Expense, Income, Revenue, Profit, Gain, Loss

and then moves to **trade-related terminology**: bills, debtors, creditors, bad debts, insolvency, discount, stock and inventory.

Why these terms need care

Many of these words sound alike in everyday language but have **different meanings in accounting** (expenditure vs. expense, revenue vs. gain, expense vs. loss, trade discount vs. cash discount). Each pair is compared explicitly below.

11 Expenditure

Definition: Expenditure

Expenditure is a disbursement of cash, transfer of other property, or incurrence of a liability for the purpose of acquiring **assets, goods or services**.

In simple terms: *expenditure is the amount spent, or obligation incurred, to obtain something for the business.*

Examples: purchasing machinery for ₹5,00,000; purchasing goods for resale for ₹1,00,000; paying rent of ₹20,000; purchasing office supplies for ₹5,000. All involve expenditure.

Expenditure does not automatically mean expense

This is one of the most important distinctions in this chapter. An expenditure may result in **an asset being acquired**, or **an expense being recognised**.

12 Capital Expenditure versus Revenue Expenditure

Expenditure is divided broadly into two kinds, based on the **nature and benefit** of the spending.

Capital Expenditure and Revenue Expenditure

12.1 Capital expenditure

Definition: Capital expenditure

Expenditure incurred to **acquire a long-term (permanent) asset** or to **improve an existing long-term asset**, where the asset is **not intended for resale in the ordinary course of business**.

It can therefore increase the value or productive capacity of a business asset. Examples: purchase of machinery, land or a building; major expenditure that improves the capacity of an existing machine.

Key idea. Capital expenditure is about **creating or improving a long-term productive resource**.

12.1.1 Characteristics of capital expenditure

#	Characteristic	Explanation
1	Usually non-recurring	Incurred occasionally, not continuously (e.g. a new machine every several years)
2	Long-term benefit	The benefit extends beyond the current accounting year
3	Increases earning capacity	May increase the productive or earning capacity of the business
4	Initially associated with the Balance Sheet	Capitalised as part of the asset, not charged entirely to the current year's Profit and Loss Account
5	Benefit over several years	For a depreciable asset the cost is allocated over its useful life through **depreciation**

Example: Machinery for 10 years

A company purchases machinery for ₹10,00,000, expected to be used for 10 years. The whole ₹10 lakh is *not* normally the expense of the year of purchase. The machinery is recognised as an **asset** and its depreciable amount is allocated over its useful life under the applicable rules.

$$\text{Capital expenditure} \rightarrow \text{Asset} \rightarrow \text{Depreciation over useful life}$$

12.2 Revenue expenditure

Definition: Revenue expenditure

Expenditure incurred in the **normal course of business operations** for generating revenue or maintaining the existing earning capacity of the business.

Examples: salaries, rent, electricity, routine repairs, administrative expenses, cost of goods sold, ordinary maintenance expenses.

Key idea. Revenue expenditure is associated with the **day-to-day running** of the business.

12.2.1 Characteristics of revenue expenditure

#	Characteristic	Explanation
1	Generally recurring	Incurred repeatedly: monthly rent, monthly salaries, electricity bills
2	Benefit consumed in the current period	The benefit usually relates to the current accounting period
3	Maintains earning capacity	Maintains existing operating capacity rather than creating a new long-term asset
4	Charged to Profit and Loss	Generally recognised as an expense in determining the profit or loss of the period, subject to the applicable rules

12.3 Comparison

Basis	Capital expenditure	Revenue expenditure
Purpose	Acquisition or improvement of a long-term asset	Day-to-day operation and maintenance
Benefit	Extends over multiple periods	Generally consumed in the current period
Frequency	Usually non-recurring	Generally recurring
Effect on earning capacity	May increase productive / earning capacity	Generally maintains existing capacity
Accounting treatment	Capitalised as an asset, subject to applicable rules	Generally charged to P&L as an expense
Balance sheet	Associated with asset recognition	Generally does not remain as an asset after recognition, except where another treatment applies
Example	Purchase of machinery	Routine repair of machinery

12.4 An important example

A company owns a machine.

Case	Amount	Nature	Reason
A: significantly increases production capacity	₹2,00,000	Capital expenditure	Improves the asset and provides future economic benefits
B: ordinary maintenance	₹20,000	Revenue expenditure	Maintains the existing operating condition

Key Idea

The test question. Does the expenditure create, acquire or substantially improve a long-term resource, or is it simply part of the ordinary operation and maintenance of the business? This question is much more useful than memorising examples.

13 Expense

Definition: Expense

An **expense** is a cost whose economic benefit has been **consumed or expired during the accounting period**. (Lecture: *an expense is a value that has expired during the accounting period.*)

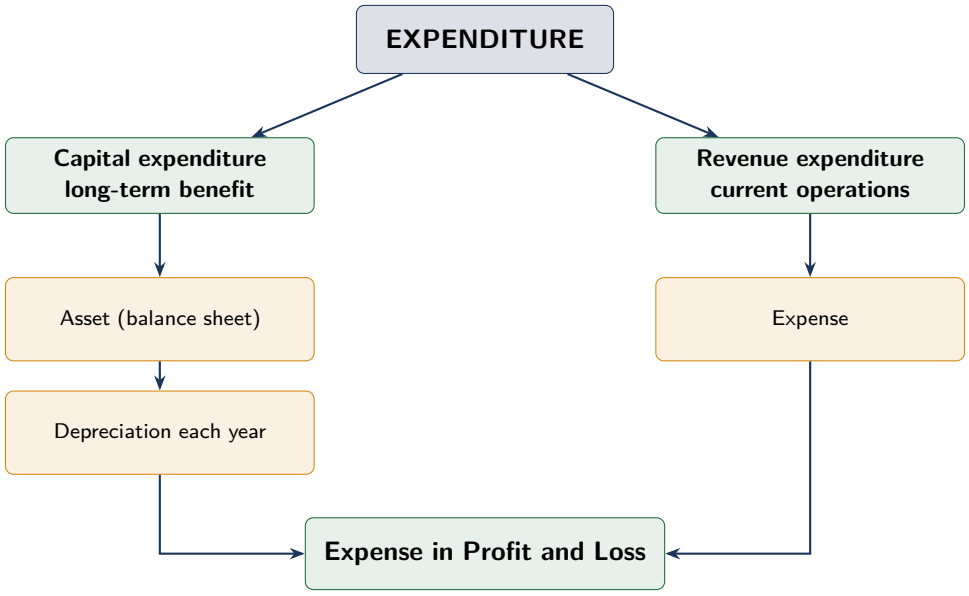
An expense is recognised in determining the **profit or loss** of the period.

13.1 Expenditure versus expense

	Expenditure	Expense
Focus	The *incurrence* of a cost; use of resources to acquire something	The *consumption or expiration* of economic benefit
Simple words	The spending, or obligation incurred	The portion whose benefit has been consumed in the period

Example: Machinery: expenditure vs. expense

A machine is purchased for ₹6,00,000. The purchase is **capital expenditure**. The machine is used during the year and depreciation for the year is ₹60,000. Then **₹60,000 is the expense**. The entire ₹6 lakh is not an expense of the current year merely because ₹6 lakh was spent.



14 Prepaid and Outstanding Expenses

14.1 Prepaid expense

Definition: Prepaid expense

An amount **paid in advance** for a benefit that will be received in a **future period**.

Example: Insurance paid in advance

Annual insurance of ₹1,20,000 is paid in advance. If ₹30,000 relates to the next accounting year, that ₹30,000 is a **prepaid expense** at the reporting date. The expense of the current year is only the portion relating to the current period:

$$\text{Current-year expense} = 1{,}20{,}000 - 30{,}000 = ₹\,90{,}000, \qquad \text{Prepaid} = ₹\,30{,}000.$$

$$\boxed{\text{Payment made now} \neq \text{Entire amount is current expense}}$$

The unused portion is a future economic benefit and is treated separately (as an asset / prepayment).



14.2 Outstanding expense

Definition: Outstanding expense

An expense that (i) relates to the **current accounting period**, (ii) whose benefit has already been **received or consumed**, but (iii) which has **not yet been paid**.

Example: Unpaid March salary

Salary of ₹50,000 for March is still unpaid at year-end. The employees have already provided the service, so the salary is an expense of the current period. Payment has not been made, so it is also an obligation. It is recognised as an **expense** in the Income Statement and a **liability** in the Balance Sheet.

$$\boxed{\text{Outstanding expense} = \text{Expense incurred but not yet paid}}$$

14.3 Prepaid versus outstanding

Basis	Prepaid expense	Outstanding expense
Payment	Already paid	Not yet paid
Benefit	Relates partly or fully to a future period	Already received or consumed
Current expense	Only the applicable current portion	The current-period amount is the expense
Balance sheet effect	**Asset** (prepayment)	**Liability**
Example	Insurance paid in advance	Salary due but unpaid

Key Idea

Prepaid: paid first, benefit later. Outstanding: benefit first, payment later.

15 Income, Revenue, Profit, Gain and Loss

15.1 Income

The lecture defines **income** as the profit earned during a period:

$$\boxed{\text{Income} = \text{Revenue} - \text{Expense}}$$

Wider meaning of income

In formal accounting terminology **income is broader than profit**: it can include revenue as well as gains, depending on the framework. For this introductory treatment the working relationship is Profit = Revenue − Expenses.

15.2 Revenue

Definition: Revenue

Income arising from the entity's **ordinary activities**, such as the sale of goods and the rendering of services.

Example: Furniture sales

A furniture business sells furniture worth ₹5,00,000. This ₹5 lakh, generated by its ordinary sales activity, is **revenue**.

15.3 Profit

Definition: Profit

The excess of revenue over the related costs / expenses.

$$\boxed{\text{Profit} = \text{Revenue} - \text{Expenses}}$$

Example: Profit

Revenue ₹8,00,000, expenses ₹6,00,000: Profit = 8,00,000 − 6,00,000 = ₹ 2,00,000. Profit generally **increases the owner's equity**.

15.4 Gain

Definition: Gain

A profit arising from an activity that is generally **incidental, irregular or non-recurring**, rather than from the ordinary sale of goods or services.

Example: Gain on sale of a machine

A machine with a carrying / cost amount of ₹25,000 is sold for ₹28,000. Gain = 28,000 − 25,000 = ₹ 3,000. The business's ordinary activity is manufacturing or selling furniture, not selling machinery, so the ₹3,000 is a **gain**, not ordinary sales revenue.

15.5 Loss

Definition: Loss

Arises when expenses or costs exceed the related revenue, or when an adverse event causes a reduction in economic benefits. (Lecture: an excess of expenses over related revenues.)

Example: Loss

Revenue ₹4,00,000, expenses ₹4,80,000: Loss = 4,80,000 − 4,00,000 = ₹ 80,000. A loss **decreases the owner's equity**.

15.6 Revenue versus gain

Revenue	Gain
Arises from ordinary activities	Usually arises from incidental or non-core activities
Recurring in many businesses	Often irregular or non-recurring
Example: sale of goods by a trading company	Example: profit on sale of machinery
Part of ordinary operating income	Arises outside normal revenue-generating activity

For a furniture business: selling furniture is **revenue**; selling an old machine above its carrying amount is a **gain**.

15.7 Profit versus gain

Profit is the broader result of operations; a **gain** is an increase in economic benefit from an incidental, non-core event. A gain can be **one component of overall profit**; they are not competing concepts:

$$\text{Operating Revenue} - \text{Operating Expenses} + \text{Gain} - \text{Loss} = \text{Overall Profit}$$

(subject to the accounting framework and other income / expense items).

15.8 Loss versus expense

	Expense	Loss
Nature	Consumption of resources in carrying out *normal* business activities	An *unfavourable outcome*, often from an incidental event, or expenses exceeding related income
Examples	Salary, rent, electricity	Loss due to theft; loss on sale of machinery; loss from damage in an unexpected event
One-liner	Cost of earning revenue	Unfavourable economic outcome



15.9 Case study: identifying the terms (furniture business)

Case Study: Which term applies?

Transaction / event	Term	Reason
Sold goods worth ₹50,000 to Mr. X	Sales / Revenue	Ordinary sale of business goods
Theft of cash from the office	Loss	Unfavourable reduction in resources
Sold goods costing ₹10,000 for ₹12,000	Revenue + Profit	₹12,000 sales revenue; ₹2,000 gross profit before other costs
Machinery costing ₹25,000 sold for ₹28,000	Gain	₹3,000 gain on disposal of a non-current asset

Calculations. Goods: sales ₹12,000 − cost ₹10,000 = **profit ₹2,000**. Machinery: proceeds ₹28,000 − cost / carrying amount ₹25,000 = **gain ₹3,000**.

16 Terms Related to Trade

This section introduces the vocabulary used for buying and selling goods.

16.1 Purchases

Definition: Purchases

Buying goods in which the business **ordinarily deals**, for the purpose of **resale**.

A furniture trader who buys furniture worth ₹1,00,000 for resale has **Purchases** = **₹** 1,00,000.

Purchase of goods vs. purchase of an asset

If the furniture trader buys a *computer for office use*, that is generally **not** a purchase of goods for the trading account; it is the **acquisition of an asset**. "Purchase" in the accounting sense often means specifically *goods bought for resale*.

16.2 Purchase return (returns outward)

When goods previously purchased are **returned by the business to its supplier**, the return is called **Purchase Return** or **Returns Outward**.

Example: Defective goods returned

Goods worth ₹10,000 were purchased; defective goods worth ₹2,000 are returned. Purchase Returns = ₹ 2,000.

$$\boxed{\text{Net Purchases} = \text{Purchases} - \text{Purchase Returns}} \quad \Rightarrow \quad 10{,}000 - 2{,}000 = ₹\,8{,}000$$

16.3 Sales

Definition: Sales

The transfer / sale of goods or services to customers for consideration. For a trading business, the sale of goods in which it deals.

A furniture trader sells goods worth ₹50,000, so **Sales** = ₹ 50,000. Sales are a major source of **revenue** for a trading business.

16.4 Sales return (returns inward)

When customers **return goods** previously sold by the business, it is called **Sales Return** or **Returns Inward**.

Example: Customer returns goods

Goods sold for ₹20,000; the customer returns goods worth ₹3,000. Sales Returns = ₹ 3,000.

$$\boxed{\text{Net Sales} = \text{Sales} - \text{Sales Returns}} \quad \Rightarrow \quad 20{,}000 - 3{,}000 = ₹\,17{,}000$$

Memory trick. Returns Outward → Purchase Return: the goods go *out of* the business, back to the supplier. **Returns Inward** → Sales Return: the goods come *in to* the business from the customer.

16.5 Purchases versus sales

Term	Meaning
Purchases	Goods bought for resale
Purchase return / returns outward	Goods returned to the supplier
Sales	Goods sold to customers
Sales return / returns inward	Goods returned by customers



17 Stock and Inventory

17.1 Stock

Definition: Stock

Goods purchased for resale that **remain unsold** at the end of the accounting period.

Example: Closing stock

A trader purchases goods worth ₹5,00,000. By year-end goods sold = ₹4,00,000 and goods remaining = ₹1,00,000. The **closing stock is ₹1,00,000**, subject to the applicable inventory measurement rules.

17.2 Inventory

Inventory is a **broader term** than stock in the lecture's traditional terminology. It can include:

Component	Meaning	Furniture example
Raw materials	Materials that will be used in production	Wood, nails, glue, other production materials
Semi-finished goods / WIP	Goods that have entered production but are not yet finished	A partially assembled table at year-end
Finished goods	Goods that have completed production and are held for sale	Completed tables awaiting sale
Stock	In the lecture's traditional trading terminology, finished / trading goods held for resale and unsold	Furniture held for resale

$$\boxed{\text{Inventory} \supset \text{Stock}} \quad \text{(in the lecture's terminology)}$$

17.3 Stock versus inventory

Stock	Inventory
Narrower term in the lecture	Broader term
Mainly goods held for resale	Includes raw materials, WIP, finished goods and stock
Particularly relevant to trading goods	Also useful for manufacturing businesses

For a furniture manufacturer:

$$\text{Raw materials} + \text{WIP} + \text{Finished goods} = \text{Inventory},$$

and the finished goods held for sale may be called **stock** in the traditional terminology.

18 Bills Receivable and Bills Payable

18.1 Bills receivable

Definition: Bill receivable

A **bill of exchange** drawn on a debtor, or received by the business by endorsement from another party, under which the specified amount is **receivable at a future date**.

In simple terms: a formal written right to receive money in the future.

Example: Customer accepts a bill

A customer owes ₹50,000. Instead of an informal credit balance, the customer accepts a bill promising to pay ₹50,000 after 3 months. For the business, **Bill Receivable** = ₹ 50,000: an amount it expects to *receive* in the future.

18.2 Bills payable

Definition: Bill payable

A bill of exchange **accepted by the business in favour of a creditor**, under which the business must **pay** the specified amount at a future date.

Example: Business accepts a bill

The business owes a supplier ₹60,000 and accepts a bill payable after three months. **Bill Payable** = ₹ 60,000, a **liability**.

18.3 Bills receivable versus bills payable

Bills receivable	Bills payable
Amount to be **received**	Amount to be **paid**
Asset in the usual classification	Liability in the usual classification
Usually arises from debtors	Usually arises from creditors
Gives a right to receive money	Creates an obligation to pay money
Future inflow	Future outflow

Memory trick. Receivable = Receive; Payable = Pay.

19 Debtors and Creditors

19.1 Debtors

Definition: Debtors

Persons or firms to whom the business has sold goods or provided services **on credit** and from whom payment has not yet been received.

Debtors owe money to the business. If a business sells goods worth ₹1,00,000 to X on credit, then until X pays, X is a debtor. The amount is generally shown as a **trade receivable**.

19.2 Creditors

Definition: Creditors

Persons or firms from whom the business has purchased goods or obtained services **on credit** and to whom payment is still due.

Creditors are owed money by the business. If a business purchases goods worth ₹80,000 from Y on credit, then until it pays, Y is a creditor. The amount is generally a **trade payable**.

19.3 Debtor versus creditor

This is one of the easiest places to get confused.

	Debtor	Creditor
Meaning	Someone who **owes us** money	Someone **whom we owe** money
Balance sheet	Receivable (asset)	Payable (liability)
Memory	Debtor → *Due to us*	Creditor → *Credit given to us*

Example: A, B and C

A sells ₹20,000 of goods on credit to B: for A, **B is a debtor**. **A buys ₹15,000 of goods on credit from C**: for A, **C is a creditor**.

Viewpoint matters

The same person can be a debtor in one set of books and a creditor in another. In the example above, B is a debtor of A, but *in B's own books* A is a creditor. Always ask: "whose books am I looking at?"

20 Bad Debts and Insolvency

20.1 Bad debts

Definition: Bad debt

An amount due from a debtor that has become **irrecoverable**.

A customer owes ₹50,000 but becomes unable to pay and the amount is determined to be irrecoverable. Then **Bad debt** = ₹ 50,000. It is a **loss to the business**, and the lecture states that bad

debts are charged to the **Profit and Loss Account as an expense / loss**.

Effect:

$$\text{Debtors / Receivables} \downarrow \quad \Rightarrow \quad \text{Profit} \downarrow \quad \Rightarrow \quad \text{Equity} \downarrow$$

Example: Bad debt

Debtors total ₹3,00,000. A debtor owing ₹20,000 becomes insolvent and the amount cannot be recovered.

$$\text{Bad debt} = ₹\,20{,}000, \qquad \text{Remaining receivables} = 3{,}00{,}000 - 20{,}000 = ₹\,2{,}80{,}000.$$

The ₹20,000 is recognised as a loss / expense under the applicable accounting treatment.

20.2 Insolvent / insolvency

Definition: Insolvent

A person or enterprise that is not in a position to pay its debts. Depending on the legal framework, it may also mean that liabilities exceed assets.

Relationship to bad debt. If Business A is owed money by Customer B and B becomes insolvent and cannot repay, A may suffer a bad debt:

$$\text{Insolvency of debtor} \rightarrow \text{Possible irrecoverability} \rightarrow \text{Bad debt for the creditor}$$

21 Discount

A **discount** is a rebate or allowance given by the seller to the buyer. The lecture divides it into two types:

$$\boxed{\text{Trade Discount} \quad + \quad \text{Cash Discount}}$$

21.1 Trade discount

Definition: Trade discount

A discount given at a stated percentage on the **list / catalogue price** of goods, for commercial reasons such as bulk purchases, dealer arrangements, regular trade relationships or wholesale pricing.

Accounting treatment

Trade discount is not recorded separately in the books of account. It is deducted from the list price when determining the invoice amount, and the transaction is recorded at the net amount.

Example: Trade discount

List price ₹1,00,000; trade discount 10%.

$$\text{Discount} = 1{,}00{,}000 \times 10\% = ₹\,10{,}000, \qquad \text{Invoice value} = 1{,}00{,}000 - 10{,}000 = ₹\,90{,}000.$$

The transaction is recorded at **₹90,000**, not as a ₹1,00,000 purchase plus a separate ₹10,000 discount.

21.2 Cash discount

Definition: Cash discount

An allowance given for **prompt or early payment**. Unlike trade discount, **cash discount is recorded in the books**.

Example: Cash discount

Amount due ₹50,000; cash discount for prompt payment 5%.

$$\text{Discount} = 50{,}000 \times 5\% = ₹\,2{,}500, \qquad \text{Cash paid} = 50{,}000 - 2{,}500 = ₹\,47{,}500.$$

For the **seller** this is *Discount Allowed*; for the **buyer** it is *Discount Received*.

21.3 Trade discount versus cash discount

Basis	Trade discount	Cash discount
Purpose	Commercial / quantity / dealer discount	Prompt payment
When given	Usually at the time of sale or invoicing	At the time of settlement or payment
Recorded separately?	Generally **No**	**Yes**
Shown in invoice?	Usually deducted from list price	Usually depends on payment terms and settlement
Example	10% wholesale discount	5% discount for paying within 10 days

Memory trick. Trade discount = *discount on price*. Cash discount = *discount on payment*.

22 A Comprehensive Example Combining the Terms

Case Study: From catalogue price to cash paid

A furniture business receives a catalogue price of ₹1,00,000 from a supplier.

Step	What happens	Amount (₹)	Term
1	Supplier gives a 10% trade discount: 1,00,000 − 10,000	90,000 invoice	Trade discount (not separately recorded)
2	Furniture bought on credit	90,000	Purchases; Creditor
3	Furniture worth ₹10,000 returned	10,000	Purchase return
4	Remaining payable: 90,000 − 10,000	80,000	Creditor
5	5% cash discount for immediate settlement: 80,000 × 5%	4,000	Cash discount (Discount Received)
6	Cash paid: 80,000 − 4,000	76,000	Settlement

One example links:

Trade Discount → Purchases → Purchase Return → Creditor → Cash Discount

23 Part II Reference Section

23.1 Comprehensive terminology table

Term	Meaning	Classification / effect
Expenditure	Incurrence of a cost through payment, transfer of property or liability for acquiring goods, assets or services	Broad term
Capital expenditure	Expenditure to acquire or improve long-term assets	Capitalised
Revenue expenditure	Expenditure for ordinary operations / maintenance	Generally expense
Expense	Cost whose benefit has been consumed or expired in the period	Reduces profit
Prepaid expense	Expense paid in advance for a future benefit	Asset / prepayment
Outstanding expense	Expense incurred but not yet paid	Liability
Revenue	Income from ordinary activities	Increases profit / equity
Profit	Excess of revenue over relevant expenses / costs	Increases equity
Gain	Profit from an incidental / non-core transaction	Increases profit / equity
Loss	Unfavourable outcome, or expenses exceeding related revenue	Reduces profit / equity
Purchases	Goods bought for resale	Trading item
Purchase return	Goods returned to supplier	Reduces purchases
Sales	Goods / services sold to customers	Revenue
Sales return	Goods returned by customers	Reduces sales
Stock	Unsold goods held for resale	Current asset / inventory
Inventory	Raw materials, WIP, finished goods and stock	Current asset
Bills receivable	Formal right to receive money under a bill	Asset
Bills payable	Formal obligation to pay under a bill	Liability
Debtor	Party owing money to the business	Receivable / asset
Creditor	Party to whom the business owes money	Payable / liability
Bad debt	Receivable that becomes irrecoverable	Loss / expense
Insolvent	Unable to meet debts / obligations	Financial / legal condition
Trade discount	Discount from list price, generally not separately recorded	Reduces invoice amount
Cash discount	Discount for prompt payment	Recorded separately

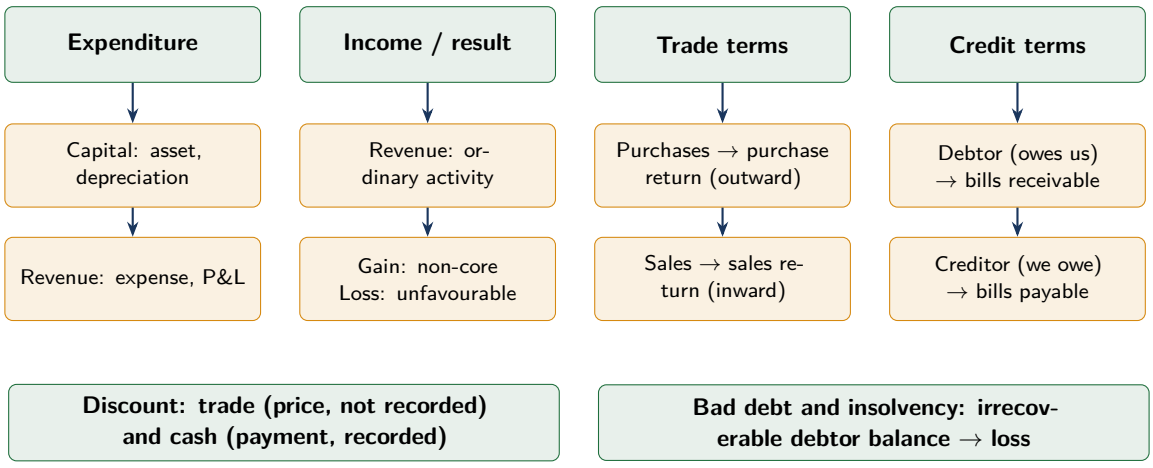
23.2 High-value distinctions

Pair	First term	Second term
Expenditure vs. expense	Expenditure = cost *incurred*	Expense = cost *consumed / expired*
Capital vs. revenue expenditure	Capital → long-term asset / future benefit	Revenue → current operations
Prepaid vs. outstanding	Prepaid = paid now, benefit later	Outstanding = benefit now, pay later
Revenue vs. gain	Revenue = ordinary business activity	Gain = incidental / non-core increase
Profit vs. gain	Profit = overall result	Gain is *one component* of overall profit
Expense vs. loss	Expense = cost of resources consumed	Loss = unfavourable economic outcome
Debtor vs. creditor	Debtor = owes us	Creditor = we owe them
Bills receivable vs. payable	Receivable = receive later	Payable = pay later
Trade vs. cash discount	Trade = price discount; generally not recorded separately	Cash = payment discount; recorded

23.3 Important formulas and relationships

Item	Formula
Profit	Revenue − Expenses
Loss	Expenses − Revenue (when expenses exceed revenue)
Net purchases	Purchases − Purchase returns
Net sales	Sales − Sales returns
Capital expenditure	→ Asset → Depreciation / amortisation as applicable
Equity effect	Profit ↑⇒ Equity ↑; Loss ↑⇒ Equity ↓

23.4 Master concept map for Part II



23.5 Exam-focused final revision

Term	Learn exactly
Expenditure	Amount spent or liability incurred to acquire assets, goods or services
Capital expenditure	Expenditure to acquire or substantially improve long-term assets, giving benefit over multiple periods
Revenue expenditure	Expenditure in the normal course of business, generally consumed in the current period
Expense	A cost whose benefit has been consumed or expired during the accounting period
Prepaid expense	Paid now, benefit received later
Outstanding expense	Benefit received now, payment made later
Revenue	Income generated from ordinary business activities
Profit	Excess of revenue over expenses
Gain	Profit from an incidental / non-core transaction, such as sale of a fixed asset above its carrying amount
Loss	An unfavourable economic outcome or excess of expenses over related revenue
Purchases / Purchase return	Goods bought for resale / goods returned to suppliers (returns outward)
Sales / Sales return	Goods sold to customers / goods returned by customers (returns inward)
Stock / Inventory	Unsold goods held for resale / broader category including raw materials, WIP, finished goods and stock
Debtor / Creditor	Owes money *to us* / *we owe* money to
Bills receivable / payable	Money to be received / paid in the future under a bill
Bad debt / Insolvent	Irrecoverable amount due from a debtor / unable to meet debts or obligations
Trade / Cash discount	Reduction from list price, generally not separately recorded / reduction for prompt payment, recorded

Key Idea

One-line memory framework. Expenditure → cost incurred · Expense → cost consumed · Revenue → ordinary income · Gain → incidental profit · Loss → unfavourable outcome · Debtor → owes us · Creditor → we owe them · Receivable → receive later · Payable → pay later · Trade discount → price · Cash discount → payment.

Part III (Lecture 2_C)

Accounting Principles, Concepts and Conventions

The principles and assumptions that govern how transactions are recognised, measured, recorded and presented

24 Accounting Principles and GAAP

Part III is one of the most important theoretical sections of the introductory module. It explains the **principles and assumptions that govern the preparation of accounting records and financial statements**. The broad sequence is:

Accounting Principles → Accounting Concepts → Accounting Conventions

These ideas explain **how transactions should be recognised, measured, recorded and presented** so that accounting information is meaningful and comparable.

24.1 Accounting principles

Financial statements come from a very large volume of information about the economic activities of an enterprise. That information is accumulated, analysed, recorded and reported, and this should be done according to established **accounting principles**.

Accumulated → Analysed → Recorded → Reported

Definition: Accounting principles

The **basic rules, concepts and guidelines** that provide the foundation for recording transactions and preparing financial statements.

They give guidance on how transactions should be **recorded**, how financial information should be **measured**, what information should be **disclosed**, how financial statements should be **prepared**, and how information should be **presented** to users.

24.2 Generally Accepted Accounting Principles (GAAP)

Definition: GAAP

Generally **A**ccepted **A**ccounting **P**rinciples: the accepted body of accounting principles, standards and practices used within a particular jurisdiction. It provides a framework for detailed accounting rules and reporting practices.

The lecture describes GAAP as encompassing three layers:

#	Layer	What it contains
1	Basic accounting principles / guidelines	The concepts and conventions in this Part
2	Accounting standards	Issued by the relevant accounting standard-setting body
3	Industry-specific practices	Where required for unusual or specialised situations

GAAP is not one worldwide rulebook

Accounting frameworks **differ by jurisdiction**; countries may use different standards or adaptations of international standards. Conceptually, GAAP is the generally accepted framework of accounting rules and practices *within a jurisdiction*.

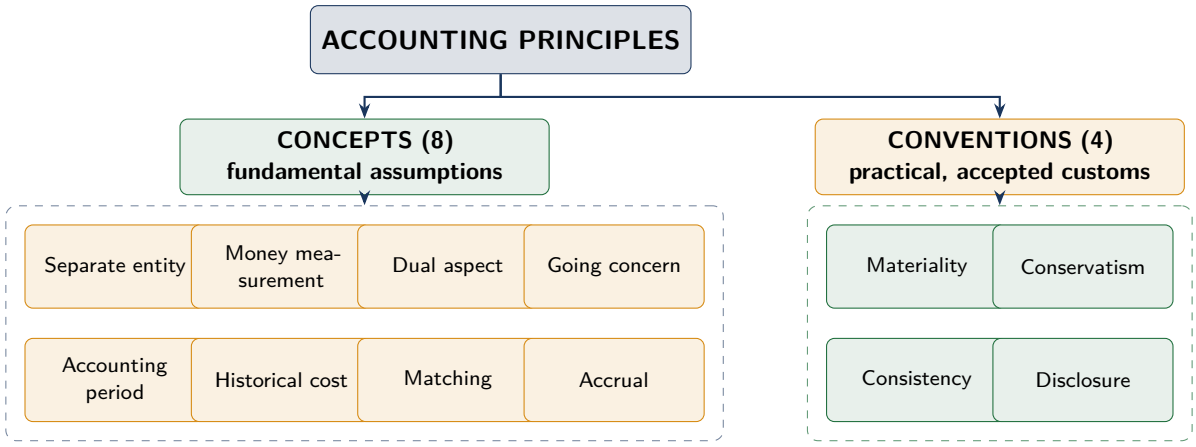
24.3 Why accounting principles are needed

Without common principles, two businesses could record the same economic event in completely different ways, making financial statements difficult to compare, understand, analyse, audit and use for decisions. Principles therefore promote:

Benefit	Meaning
Consistency	Similar transactions are treated in similar ways
Comparability	Statements of different periods or entities can be meaningfully compared
Reliability and credibility	Users have a structured basis for understanding the information
Proper presentation	Statements follow an organised framework rather than arbitrary treatment

24.4 Overview: concepts and conventions

The principles in this lecture fall into two groups:



25 Accounting Concepts

The eight accounting concepts are developed one by one below. Each follows the pattern: *meaning*, *example*, *why it matters*.

25.1 Separate business entity concept

Definition: Separate business entity concept

The **business and its owner are treated as separate entities** for accounting purposes. Even when a business is owned by an individual, the accounting records are maintained from the **point of view of the business**.

$$\boxed{\text{Business} \neq \text{Owner}} \quad \text{(for accounting purposes)}$$

Example: Owner invests money

The owner introduces ₹1,00,000 into the business. From the *owner's* personal viewpoint, money has been given to the business. From the *business's* viewpoint, it has **received ₹1 lakh** and the owner's claim is recorded as **Capital** = ₹ 1,00,000. Cash rises; owner's equity (capital) rises.

Example: Owner withdraws money

The owner withdraws ₹20,000 for personal use. The business records **Drawings** = ₹ 20,000. It is *not* treated as a business expense merely because the business's cash has decreased. This is a direct consequence of the separate-entity concept.

Why it matters. Without this separation it would be hard to determine how much belongs to the business and how much to the owner, what the actual business expenses are, and what the business's real financial position is.

Key Idea

Personal transactions of the owner should not be mixed with business transactions unless accounting principles specifically require recognition. *Question answered: whose transactions are we recording?*

25.2 Money measurement concept

Definition: Money measurement concept

Accounting records only those transactions and events that can be **expressed in monetary terms**.

$$\boxed{\text{Recordable accounting information} \Rightarrow \text{Measurable in money}}$$

A fact may be important to the business and still not be recorded if it cannot be reliably expressed in money.

Example: Valuable but unrecorded

A company has an exceptionally skilled management team. This may be very valuable, but the *quality* of the team is not ordinarily recorded as a monetary asset because it is hard to assign a sufficiently objective accounting value. The lecture's other example: the **general health condition of a Managing Director** could affect the business, but it is not normally

an accounting transaction because it is not a monetary transaction.

25.2.1 Limitations of the money measurement concept

1. Qualitative information may be excluded. Facts that cannot be expressed reliably in money may not appear in the records, for example employee morale, quality of management, reputation, industrial relations, health of key personnel and customer loyalty.

Financial statements do not capture every economically relevant fact

2. Assumption of a stable monetary unit. Accounting generally assumes the monetary unit is a sufficiently stable basis of measurement; the lecture states this as a *stable or constant value of the rupee*. In reality purchasing power changes through inflation, so ₹1 lakh today does not necessarily have the same purchasing power as ₹1 lakh several years ago. This is one reason historical financial information needs careful interpretation.

Key Idea

Question answered: which events can be recorded?

25.3 Dual aspect concept

Definition: Dual aspect concept

Every business transaction has **two accounting aspects (effects)**. This is the conceptual foundation of the **double-entry bookkeeping system**.

Every transaction has at least two effects

These two effects keep the accounting equation balanced.

Example: Cash sale of ₹10,000

Aspect 1: goods are transferred to the customer, so the business's inventory decreases. **Aspect 2:** cash is received, so the business's cash increases. One transaction, two effects. **Equation view** (simplified): Cash ↑ and Sales / income ↑; since income ultimately affects equity, Equity ↑. The accounting equation remains balanced.

Example: Furniture bought for cash, ₹50,000

Furniture ↑ ₹ 50,000 and Cash ↓ ₹ 50,000. Total assets do not change ($+50{,}000 - 50{,}000 = 0$) but their **composition** does. This shows that "dual aspect" does not mean total assets must always rise or fall; it means the transaction has **two corresponding effects**.

25.3.1 Dual aspect and the accounting equation

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

or, in the course's traditional terms,

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

Every transaction must affect the equation so that it remains balanced, which is why the concept is fundamental to double-entry accounting.

Key Idea

Question answered: how many effects does each transaction have?

25.4 Going concern concept

Definition: Going concern concept

The business is assumed to **continue its operations for the foreseeable future** rather than being forced to liquidate in the immediate future, unless there is evidence to the contrary.

25.4.1 Why the assumption is necessary

A machine is bought for ₹10,00,000 and is expected to last 10 years. If the business is assumed to continue, it makes sense to treat the machine as giving benefits over its useful life and to **allocate its cost through depreciation**. If the business were about to shut down immediately, the relevant question would instead be: *what amount can actually be recovered by selling the machine?* So the assumption influences how assets and liabilities are measured and presented.

25.4.2 Implications of going concern

- Assets are generally *not* treated as though they must all be sold immediately.
- Long-term assets can be used over their useful lives.
- Costs can be allocated across accounting periods.
- Depreciation can be charged over the useful life of assets.
- Long-term liabilities can be classified and presented according to their contractual terms.

$$\boxed{\text{Going concern} \Rightarrow \text{Business is accounted for as an operating entity}}$$

(rather than as an entity about to be liquidated).

Key Idea

Question answered: what assumption do we make about the business's future?

25.5 Accounting period concept

A business may theoretically continue indefinitely, but users cannot wait indefinitely to learn its performance. Therefore the life of a business is divided into **accounting periods**: a month, a quarter, six months or a financial year. The **year** is the common reporting period.

Definition: Accounting period concept

The continuous life of a business is divided into defined **accounting periods** for measuring and reporting financial performance.

Example: Why divide life into periods?

A business starts in 2020 and continues until 2050. If accounts were prepared only in 2050, the owner would wait 30 years to learn the overall result. Instead accounts are prepared periodically (2020 → 2021 → 2022 → ⋯), which allows users to determine annual profit or loss, annual expenses, the financial position at year-end and changes in performance over time.

25.5.1 Financial year versus calendar year

Businesses may use different reporting periods depending on prevailing practice, tradition, government requirements and applicable regulations.

Period	Span
Calendar year	1 January → 31 December
Financial year	A 12-month period that may differ from the calendar year, depending on jurisdiction and reporting requirements

Key Idea

Question answered: when do we measure performance?

25.6 Historical cost concept

Definition: Historical cost concept

An asset is ordinarily **initially recorded at the cost incurred to acquire it**, rather than at its market value on the purchase date.

Example: Plant bought for ₹5,00,000

A business buys a plant for ₹5,00,000. At the time of purchase its market value happens to be ₹6,00,000. Under the simplified historical-cost principle:

$$\boxed{\text{Recorded cost} = ₹\,5{,}00{,}000}$$

because ₹5 lakh is the acquisition cost.

25.6.1 Historical cost does not mean "never changes"

Historical cost does **not** mean an asset appears at exactly its original cost forever. Depreciable assets are reduced through **depreciation**.

Example: Carrying amount after depreciation

Original cost ₹5,00,000; cumulative depreciation ₹1,50,000.

$$\text{Carrying amount} = 5{,}00{,}000 - 1{,}50{,}000 = ₹\,3{,}50{,}000$$

(subject to the relevant accounting rules). So

$$\boxed{\text{Historical cost} \neq \text{Permanent unchanging book value}}$$

25.6.2 Why historical cost is useful

- It is based on an **actual transaction**.
- It is generally **easier to verify**.
- It provides **objective evidence** of the original acquisition amount.
- It reduces dependence on **subjective market estimates** at the acquisition date.

However, it can become **less representative of current economic value** as prices change (see the limitation discussed in Part 1).

Key Idea

Question answered: at what amount is an asset initially recorded?

25.7 Matching concept

Definition: Matching concept

Revenue earned during an accounting period must be **matched with the corresponding expenses** relating to that revenue, so that the proper profit for the period can be determined.

$$\boxed{\text{Profit} = \text{Revenue of period} - \text{Expenses relating to that revenue}}$$

Example: Shop inventory

A shop buys inventory for ₹1,00,000 during the year, but by year-end only goods costing ₹60,000 have been sold. The full ₹1,00,000 should *not* automatically be treated as the cost of the period's sales.

- ₹60,000 is associated with goods **sold** (cost of sales);
- the remaining ₹40,000 relates to inventory **still held** and remains part of inventory, subject to the applicable inventory accounting rules.

Central idea: match the cost with the revenue it helped generate.

Example: Profit measurement

Revenue ₹2,00,000; related expenses ₹1,20,000. Profit = 2,00,000 − 1,20,000 = **₹80,000**. The purpose of matching is to ensure reported profit is not distorted by assigning unrelated expenses to the period.

Key Idea

Question answered: which costs belong with this period's revenue?

25.8 Accrual concept

Definition: Accrual concept

Transactions are recognised based on when **income is earned and expenses are incurred**, rather than when cash is received or paid.

Revenue → when earned Expense → when incurred

not when cash is received or paid.

Example: Electricity

The business uses electricity during March; the bill is received in March but paid in April. Under accrual accounting the electricity expense belongs to **March**, because the service was consumed in March. Expense recognition follows *consumption / incurrence*, not the date of payment.

25.8.1 Accrual versus cash basis

Accrual basis	Cash basis
Recognise revenue when earned	Recognise revenue when cash is received
Recognise expense when incurred	Recognise expense when cash is paid
Focuses on economic activity	Focuses on cash movement
Gives a fuller picture of period performance	Can differ substantially from economic performance

A customer buys goods on credit in March and pays in April. Under accrual accounting, revenue is recognised in **March**, even though cash arrives in **April**.

25.8.2 Relationship between matching and accrual

Concept	Question it asks
Accrual	*When* should the transaction's income or expense be recognised?
Matching	*Which* expenses belong with the revenue of this period?

Together they give an economically meaningful measure of periodic profit.

Key Idea

Question answered: when should income or expense be recognised?

26 Concepts versus Conventions

Accounting concepts	Accounting conventions
Fundamental assumptions / principles used in recording and reporting	Generally accepted customs or practices used as practical guides
Form the conceptual foundation	Help deal with practical reporting situations
More fundamental in nature	Often arise from accepted practice
Guide recognition, measurement and reporting	Guide consistent presentation and treatment

Concept = Fundamental accounting idea / principle

Convention = Widely accepted practical practice

27 Accounting Conventions

27.1 Materiality convention

Definition: Materiality convention

Items of **small or insignificant importance** need not always receive the same detailed treatment that a highly significant item would. Accounting procedures should be **proportionate to the importance of the item**.

Example: The ₹100 calculator

An ordinary calculator costs ₹100 and could physically last 10 years. In theory its cost could be spread over 10 years. But the effort of classifying it as a long-term asset, calculating 10 years of depreciation and keeping detailed records may exceed the benefit of such precision. Depending on the entity's accounting policy and materiality threshold, it may simply be **treated as an expense of the period**.

Materiality is relative. An item can be material for one business and immaterial for another. ₹10,000 may be insignificant for a large multinational but highly significant for a very small business.

Materiality depends on context, size and significance

It is a matter of **judgement**, not a universal fixed rupee amount.

Key Idea

Question answered: does the item matter enough to warrant detailed treatment?

27.2 Conservatism convention

Definition: Conservatism convention

A **cautious** approach to accounting: anticipated expenses or losses should be recognised, while potential income or gains should **not** be recognised prematurely.

Do not overstate assets / profits Recognise probable losses appropriately

Example 1: doubtful debts. A business has receivables and a reasonable expectation that some portion may not be collected. Accounting may recognise an appropriate **allowance (provision) for doubtful receivables** rather than assuming every amount will definitely be recovered.

Example: Example 2: inventory valuation (traditional rule)

Value stock at **cost or market value, whichever is lower**. Cost ₹1,00,000; relevant market value ₹90,000. Under the traditional lower-of-cost-or-market approach, **Value** = **₹** 90,000. This avoids recognising an unrealised increase but recognises a decline in value.

Modern clarification

Contemporary inventory accounting typically uses the **lower of cost and net realisable value (NRV)** rather than the old broad "cost or market" formulation. The course uses the traditional example to illustrate conservatism.

Example 3: conservatism and gains. A business owns an asset whose value has risen, but the increase has not been realised or does not otherwise qualify for recognition. A conservative approach does not treat an uncertain, unrealised increase as realised profit just because the asset *could* be sold for more.

Potential gain $\neq$ Automatically recognised profit

Recognition depends on the applicable accounting framework.

Key Idea

Question answered: how should uncertainty be handled cautiously?

27.3 Consistency convention

Definition: Consistency convention

An entity should follow the **same accounting policies and methods for similar transactions over successive periods**, unless there is a sound reason or an applicable requirement to change them. The objective is **comparability over time**.

Example: Depreciation method

A company chooses the **straight-line method** of depreciation for a class of assets. The method should generally be applied consistently from year to year unless there is a justified reason to change, such as a change required or permitted under the applicable framework. Changing arbitrarily every year would make comparison of profits difficult.

Why consistency matters. Suppose Year 1 uses depreciation method A, Year 2 suddenly uses method B and Year 3 uses method C. Even if each is acceptable in some circumstances, switching without justification makes year-to-year performance hard to compare.

$$\boxed{\text{Consistency} \rightarrow \text{Comparability}}$$

Key Idea

Question answered: how do we maintain comparability across periods?

27.4 Disclosure convention

Definition: Disclosure convention

Financial statements should disclose the **material information** necessary for users to understand the financial position and performance of the business and to make informed decisions.

Material information that could influence users' decisions should **not be concealed**.

Why disclosure is important. Financial statements contain summarised information, so users need enough additional information to understand:

- accounting policies,
- significant items,
- important uncertainties,
- major commitments,
- relevant risks,
- other material information.

$$\boxed{\text{Financial statements} + \text{Required disclosures} \rightarrow \text{Useful information}}$$

Key Idea

Question answered: what information must users be told?

28 Master Tables and Relationships

28.1 The twelve at a glance

Concept	Core idea	Simple example	Question it answers
Separate entity	Business and owner treated separately	Owner's investment recorded as capital	Whose transactions are we recording?
Money measurement	Only monetarily measurable information recorded	Employee morale not directly recorded	Which events can be recorded?
Dual aspect	Every transaction has two effects	Cash sale affects cash and sales	How many effects does each transaction have?
Going concern	Business assumed to continue operating	Machinery used over its useful life	What do we assume about the business's future?
Accounting period	Business life divided into reporting periods	Annual financial statements	When do we measure performance?
Historical cost	Asset initially recorded at acquisition cost	Plant bought for ₹5 lakh recorded at ₹5 lakh	At what amount is an asset initially recorded?
Matching	Match relevant expenses with related revenue	Cost of goods sold matched with sales	Which costs belong with this period's revenue?
Accrual	Recognise when earned / incurred	March electricity expense recognised in March	When should income / expense be recognised?
Convention			
Materiality	Insignificant items need not get disproportionate treatment	₹100 calculator expensed	Does it matter enough for detailed treatment?
Conservatism	Avoid premature gains; recognise expected losses	Allowance for doubtful receivables	How do we handle uncertainty cautiously?
Consistency	Same methods for comparable transactions over time	Same depreciation method unless justified	How do we keep comparability across periods?
Disclosure	Material information adequately disclosed	Significant accounting policies	What must users be told?

28.2 How the concepts work together

Pair	Relationship
Separate entity + Dual aspect	Separate entity decides *whose books* we keep; dual aspect decides *how transactions affect those books*
Going concern + Historical cost	Because the business is assumed to continue, assets need not be valued as if sold immediately; historical cost can be the basis, followed by depreciation or other adjustments
Accounting period + Accrual	The period tells us *which period's performance* we measure; accrual tells us *which revenues and expenses belong* to it
Accrual + Matching	Accrual puts income and expenses in the right period; matching ensures the expenses linked to the revenue are charged to the same period → meaningful periodic profit
Consistency + Comparability	Consistent methods → better comparison between periods
Conservatism + Disclosure	Conservatism encourages cautious recognition and measurement; disclosure gives users the material information needed to understand the resulting figures

28.3 Frequently confused concepts

Pair	First asks	Second asks
Historical cost vs. matching	Historical cost: at what amount is an acquired asset *initially recorded*?	Matching: which costs are recognised *against revenue* in this period?
Accrual vs. matching	Accrual: *when* to recognise?	Matching: *which expense* belongs with which revenue / period?
Conservatism vs. historical cost	Historical cost sets the *initial basis* of measurement	Conservatism deals with *caution* when uncertainty exists
Consistency vs. disclosure	Consistency: use comparable methods *over time*	Disclosure: give users the *material information* they need

29 A Complete Worked Example of the Concepts

Case Study: One business, eight events

1. **Owner invests ₹10 lakh** (*separate entity*). Recorded as capital of the business: Cash ↑ ₹ 10,00,000; Capital ↑ ₹ 10,00,000.
2. **Business buys machinery for ₹4 lakh** (*dual aspect*, *historical cost*). Machinery ↑ ₹ 4,00,000; Cash ↓ ₹ 4,00,000. Machinery is initially recorded at its acquisition cost of ₹4,00,000.
3. **Business purchases inventory for ₹2 lakh.** The inventory is initially recognised; the entire amount is *not* immediately treated as a current-period expense. *Matching* becomes relevant when it is sold.
4. **Goods costing ₹80,000 are sold for ₹1,20,000** (*matching*). Revenue ₹1,20,000, related cost ₹80,000, so Gross profit = 1,20,000 − 80,000 = **₹40,000**.
5. **Electricity of ₹10,000 relates to December but is paid in January** (*accrual*).

The expense belongs to **December**.

6. **Some customer balances are doubtful** (*conservatism*). An appropriate allowance for doubtful receivables may be recognised rather than assuming every receivable is certain to be collected.
7. **Business uses straight-line depreciation** (*consistency*). Apply the method consistently to similar assets unless a justified accounting reason requires a change.
8. **Financial statements are prepared** (*accounting period*, *disclosure*). Transactions are assigned to the appropriate reporting period, and material information is properly disclosed.

This example shows the concepts operating **together**, not independently.

29.1 A mental model: converting a business into financial statements

Step	Concept	Question to ask
1	Separate entity	Whose transactions are we recording?
2	Money measurement	Can the event be measured in monetary terms?
3	Dual aspect	What are the two corresponding effects?
4	Going concern	How should the business be viewed for accounting purposes?
5	Accounting period	Which period are we reporting?
6	Historical cost	At what amount is the asset initially recorded?
7	Accrual	When was income earned or expense incurred?
8	Matching	Which costs belong with this period's revenue?
9	Materiality + Conservatism + Consistency + Disclosure	How should information be presented sensibly, cautiously, consistently and transparently?

29.2 Memory aids and exam definitions

Concepts (S–M–D–G–A–H–M–A): **S**eparate Entity, **M**oney Measurement, **D**ual Aspect, **G**oing Concern, **A**ccounting Period, **H**istorical Cost, **M**atching, **A**ccrual.

Conventions (M–C–C–D): **M**ateriality, **C**onservatism, **C**onsistency, **D**isclosure.

Term	Exam definition
Separate business entity	The business is treated as a separate entity from its owner for accounting purposes, and transactions are recorded from the viewpoint of the business
Money measurement	Only transactions and events capable of being expressed in monetary terms are recognised in the accounting records
Dual aspect	Every business transaction has two accounting effects, forming the basis of the double-entry system
Going concern	The business is assumed to continue operating for the foreseeable future and is not expected to liquidate in the immediate future
Accounting period	The continuous life of a business is divided into appropriate accounting periods for measuring and reporting financial performance
Historical cost	Assets are initially recognised on the basis of the cost incurred to acquire them, subject to subsequent accounting adjustments
Matching	Revenue of an accounting period should be matched with the corresponding expenses incurred in earning that revenue to determine the proper profit for the period
Accrual	Revenue is recognised when earned and expenses when incurred, rather than merely when cash is received or paid
Materiality	Items that are insignificant in relation to the financial statements need not always receive disproportionately detailed accounting treatment
Conservatism	Accounting should avoid premature recognition of uncertain gains while appropriately recognising probable losses and obligations
Consistency	Accounting methods and policies should be applied consistently to similar transactions across periods unless a justified change is required or appropriate
Disclosure	Material information necessary for users to understand the financial statements and make informed decisions should be adequately disclosed

29.3 One-page revision sheet

Concept	Keyword	Convention	Keyword
Separate entity	Business $\neq$ Owner	Materiality	Importance
Money measurement	Only monetary measurement	Conservatism	Caution
Dual aspect	Two effects	Consistency	Comparability
Going concern	Continue operating	Disclosure	Transparency
Accounting period	Divide time		
Historical cost	Acquisition cost		
Matching	Revenue $\leftrightarrow$ related cost		
Accrual	Earned / incurred, not cash		

Key Idea

Key equations of this Part: Assets $=$ Liabilities $+$ Equity; Profit $=$ Revenue $-$ Expenses; and conceptually Accrual $+$ Matching $\rightarrow$ Proper periodic profit.

Part IV

Integrated Case Study and Revision

All the terms, principles, concepts and conventions of Part 2 working together

30 Integrated Case Study: Meera Furniture Mart

About this case study

This case study is **not in the lecture notes**. It was built for these notes to show the terms of Parts I and II and the concepts of Part III operating together, using the same kinds of figures as the lecture examples. **Assumptions:** the period is the business's *first three months*; **depreciation and tax are ignored** to keep the numbers clean; all amounts are in ₹.

30.1 The transactions

Meera starts a furniture trading business. The fifteen transactions of the period, and their effect on the accounting equation, are:

#	Transaction	Terms / concepts	Effect
1	Meera invests ₹10,00,000 cash	Capital; separate entity	Cash +10,00,000; Capital +10,00,000
2	Bank loan of ₹3,00,000 for 5 years received in cash	External, non-current liability	Cash +3,00,000; Loan +3,00,000
3	Shop furniture and fittings bought for ₹2,00,000 cash	Capital expenditure; tangible non-current asset; historical cost	Furniture +2,00,000; Cash −2,00,000
4	Goods bought on credit from Y; catalogue price ₹5,00,000 less 20% trade discount = invoice ₹4,00,000	Trade discount (not recorded separately); purchases; creditor	Inventory +4,00,000; Creditors +4,00,000
5	Defective goods of ₹20,000 returned to Y	Purchase return (returns outward)	Inventory −20,000; Creditors −20,000
6	Goods costing ₹2,40,000 sold for ₹3,60,000: ₹2,00,000 in cash, ₹1,60,000 on credit to Z	Sales (revenue); debtor; matching; accrual	Cash +2,00,000; Debtors +1,60,000; Inventory −2,40,000; Capital +1,20,000 (profit)
7	Shop rent ₹30,000 paid	Revenue expenditure; expense	Cash −30,000; Capital −30,000
8	Salaries ₹40,000 paid	Revenue expenditure; expense	Cash −40,000; Capital −40,000
9	Electricity of ₹10,000 used; bill unpaid at period end	Outstanding expense; accrual	Outstanding expense (liability) +10,000; Capital −10,000
10	Insurance ₹12,000 paid for 12 months; 3 months have expired	Prepaid expense; expense (₹3,000)	Cash −12,000; Prepaid +9,000; Capital −3,000
11	Meera draws ₹25,000 cash for personal use	Drawings; separate entity	Cash −25,000; Capital −25,000
12	Z pays ₹60,000 of his dues	Debtor settles	Cash +60,000; Debtors −60,000
13	Pays Y ₹98,000 in settlement of ₹1,00,000 dues (2% cash discount)	Cash discount (discount received)	Cash −98,000; Creditors −1,00,000; Capital +2,000
14	₹10,000 of Z's balance becomes irrecoverable (Z insolvent)	Bad debt; conservatism	Debtors −10,000; Capital −10,000
15	Old cupboard (cost ₹8,000) sold for ₹10,000 cash	Gain on a non-current asset	Cash +10,000; Furniture −8,000; Capital +2,000

Dual aspect check. In every row the effects on the left of the equation and the right of the equation are equal. For example, row 13: assets fall by 98,000; liabilities fall by 1,00,000 and capital rises by 2,000 ($-1{,}00{,}000 + 2{,}000 = -98{,}000$).

30.2 Profit for the period (Income Statement view)

Particulars	₹	₹
Sales (revenue)		3,60,000
Purchases (4,00,000) less purchase returns (20,000) = net purchases	3,80,000	
Less: closing stock (unsold goods)	(1,40,000)	
Less: cost of goods sold		(2,40,000)
Gross profit		**1,20,000**
Add: gain on sale of cupboard	2,000	
Add: discount received	2,000	4,000
Less: rent	30,000	
Less: salaries	40,000	
Less: electricity (outstanding)	10,000	
Less: insurance (3 months)	3,000	
Less: bad debts	10,000	(93,000)
Net profit for the period		**31,000**

30.3 Financial position at the end of the period (Balance Sheet view)

Assets	₹	Capital and liabilities	₹
Non-current assets		*Capital (owner's equity)*	
Furniture and fittings (tangible)	1,92,000	Opening capital introduced	10,00,000
Current assets		Add: net profit	31,000
Closing stock	1,40,000	Less: drawings	(25,000)
Debtors	90,000	**Closing capital**	**10,06,000**
Prepaid insurance	9,000	*Non-current liabilities*	
Cash	11,65,000	Bank loan (5 years)	3,00,000
		Current liabilities	
		Creditors	2,80,000
		Outstanding electricity	10,000
Total assets	**15,96,000**	**Total capital and liabilities**	**15,96,000**

$$\text{Assets} = 15{,}96{,}000 = \underbrace{5{,}90{,}000}_{\text{Liabilities}} + \underbrace{10{,}06{,}000}_{\text{Capital}}$$

30.4 Classifying every closing balance

Item	₹	Classification
Furniture and fittings	1,92,000	Asset: non-current, tangible
Closing stock	1,40,000	Asset: current (stock / inventory)
Debtors (Z)	90,000	Asset: current (receivable)
Prepaid insurance	9,000	Asset: current (prepaid expense)
Cash	11,65,000	Asset: current
Bank loan	3,00,000	Liability: external, non-current
Creditors (Y)	2,80,000	Liability: external, current
Outstanding electricity	10,000	Liability: external, current (outstanding expense)
Closing capital	10,06,000	Owner's equity (lecture term: internal liability)

30.5 Where each concept shows up

Concept / convention	In this case study
Separate entity	Meera's investment is capital (row 1); her ₹25,000 withdrawal is drawings, not an expense (row 11)
Money measurement	The skill of Meera's sales staff or the shop's reputation does not appear anywhere in the records
Dual aspect	Every row changes at least two items, and the equation balances after each
Going concern	Furniture stays on the books at cost, not at what it would fetch in a forced sale
Accounting period	All results above are for the first three months only
Historical cost	Furniture is recorded at its ₹2,00,000 acquisition cost (row 3)
Matching	Only the ₹2,40,000 cost of goods *sold* is set against sales; the ₹1,40,000 unsold stock is carried forward; only 3 months of insurance is charged
Accrual	Electricity of ₹10,000 is charged although unpaid (row 9); the credit sale to Z is revenue before the cash arrives (row 6)
Conservatism	The irrecoverable ₹10,000 is written off at once (row 14); unrealised increases in value are not recognised
Materiality	Small items (for example a stapler) would simply be expensed rather than tracked as assets
Consistency	Whatever depreciation method Meera adopts later should be applied in the same way every period
Disclosure	The loan's 5-year term and the creditor / debtor balances should be disclosed so users can interpret the figures

31 Glossary of Part 2 Terms

Term	Meaning
Capital	Amount invested by the owner; owner's claim; equity, net worth, net assets

Term	Meaning (continued)
Drawings	Cash, goods or resources withdrawn by the owner for personal use; reduce equity; not an expense
Liability	Obligation of the business to settle an amount owed
Internal liability	Traditional term for the owner's claim (capital); modern term: equity
External liability	Obligation owed to outsiders
Current liability	Obligation due within about one year or the operating cycle
Non-current liability	Obligation due after more than one year
Business transaction	Economic activity that changes financial position and is measurable in money
Event	Result or consequence of a transaction (broader meaning in formal accounting)
Asset	Resource controlled by the business from past events, expected to give future benefits
Non-current asset	Held for continued use, not for resale
Tangible / intangible asset	Physical / without physical form
Current (circulating, floating) asset	Held for sale or expected to turn into cash or be consumed in the short term
Fictitious (nominal) asset	Traditional term for deferred or unwritten-off losses or expenses
Expenditure	Spending or liability incurred to acquire assets, goods or services
Capital expenditure	Spending on acquiring or substantially improving long-term assets
Revenue expenditure	Spending on day-to-day operation and maintenance
Expense	Cost whose benefit has been consumed in the period
Prepaid expense	Paid in advance for a future benefit; an asset
Outstanding expense	Incurred but unpaid; a liability
Income	Lecture: profit earned; formally broader (revenue plus gains)
Revenue	Income from ordinary activities
Profit	Excess of revenue over expenses
Gain	Profit from incidental, non-core transactions
Loss	Unfavourable outcome; excess of expenses over related revenue
Purchases / Purchase return	Goods bought for resale / returned to supplier (returns outward)
Sales / Sales return	Goods sold / returned by customers (returns inward)
Net purchases / Net sales	Purchases less purchase returns / sales less sales returns
Stock	Unsold goods held for resale
Inventory	Raw materials, work in progress, finished goods and stock
Bill receivable / payable	Bill of exchange giving right to receive / obligation to pay at a future date
Debtor / Creditor	Owes us money on credit / we owe money on credit
Bad debt	Debtor balance that has become irrecoverable
Insolvent	Unable to pay debts
Trade discount	Reduction from list price; generally not separately recorded
Cash discount	Reduction for prompt payment; recorded (discount allowed / received)
GAAP	Generally accepted accounting principles, standards and practices of a jurisdiction
Accounting principles	Basic rules, concepts and guidelines for recording and reporting
Concept	Fundamental accounting assumption or principle
Convention	Widely accepted practical custom
Carrying amount	Cost less accumulated depreciation (as in the historical cost discussion)

Term	Meaning (continued)
Accrual basis / cash basis	Recognise when earned or incurred / when cash moves

32 Revision

32.1 Common mix-ups

Traps to avoid

- **Expenditure ≠ expense.** A ₹6 lakh machine is expenditure; only the year's depreciation is expense.
- **Drawings are not expenses.** They reduce capital directly.
- **Capital is a claim, not a particular asset.** The assets change form; the claim does not.
- **One liability, two labels.** A bank loan is both "external" and "non-current" (or "current").
- **"Internal liability" and "fictitious asset"** are traditional terms; modern accounting uses *equity*, and does not treat fictitious assets as genuine assets.
- **Classification depends on use.** The same kind of item is a non-current asset if used in the business and inventory if held for sale.
- **Prepaid is an asset; outstanding is a liability.**
- **Revenue is ordinary activity; gain is incidental.** Selling a machine above book value is a gain.
- **Trade discount is not recorded separately; cash discount is.**
- **Debtor owes us; creditor is owed by us.** Check whose books you are in.
- **Historical cost does not freeze the value.** Depreciation lowers the carrying amount.
- **Dual aspect does not mean assets always change.** Buying furniture for cash only changes the composition of assets.
- **Accrual is about *when*; matching is about *which*.**
- **Materiality is relative**, not a fixed rupee limit.

32.2 Self-test questions

1. Define capital. Opening capital is ₹8,00,000, profit ₹1,50,000, drawings ₹40,000 and additional capital ₹50,000. Find closing capital.
2. Why are drawings not treated as a business expense?
3. Classify each as internal or external, and current or non-current: (a) a 3-year bank loan, (b) supplier credit for 45 days, (c) the owner's capital.
4. Distinguish tangible from intangible assets, with two examples of each.
5. Why is a "fictitious asset" not a genuine asset under modern concepts?
6. A machine costs ₹6,00,000 and the year's depreciation is ₹60,000. Identify the expenditure, the capital expenditure and the expense.
7. Capital or revenue expenditure? (a) ₹3,00,000 spent to extend a machine's capacity, (b) ₹15,000 routine servicing, (c) monthly rent.
8. Annual insurance of ₹1,20,000 is paid and ₹30,000 of it relates to next year. Find the prepaid

amount and the current-year expense.

9. March salary of ₹50,000 is unpaid at the year-end. What is it called, and how does it appear in the statements?
10. A furniture dealer sells an old van with a carrying amount of ₹60,000 for ₹72,000. Is the result revenue or gain, and how much?
11. Purchases are ₹1,50,000, purchase returns ₹10,000, sales ₹2,40,000, sales returns ₹15,000. Find net purchases and net sales.
12. Debtors total ₹5,00,000 and a debtor owing ₹30,000 becomes insolvent. State the bad debt and the remaining debtors.
13. List price ₹2,00,000 with a 15% trade discount. The invoice is paid promptly and the supplier allows a 4% cash discount on the invoice amount. Find the invoice value and the cash paid.
14. Name the concept or convention involved: (a) the owner's personal car repairs, (b) a ₹100 stapler expensed immediately, (c) electricity used but unpaid, (d) a depreciation method changed every year, (e) stating that the business is expected to keep operating, (f) inventory shown at ₹90,000 where cost is ₹1,00,000 and market value ₹90,000.
15. What are the three layers of GAAP? Is GAAP the same worldwide?
16. Why does the going concern assumption justify depreciation?
17. A customer buys on credit in March and pays in April. In which month is revenue recognised under accrual accounting?
18. Assets are ₹12,00,000 and liabilities ₹4,50,000. Find capital.
19. State the difference between a concept and a convention, and list all twelve.
20. Explain how accrual and matching together give a meaningful profit figure.

32.3 Answer key

1. The owner's investment and claim in the business. $8{,}00{,}000 + 1{,}50{,}000 - 40{,}000 + 50{,}000 =$ ₹ 9,60,000.
2. They are a withdrawal of the owner's interest for private use, not a cost of earning revenue; they reduce capital, not profit.
3. (a) External, non-current; (b) external, current; (c) internal (owner's claim; equity in modern terms), not classified by due date.
4. Tangible has physical form (land, machinery); intangible has none (patent, goodwill).
5. It does not represent a controlled resource expected to give future economic benefits; it is a deferred loss or expense under traditional presentation.
6. Expenditure ₹6,00,000 (capital expenditure, creating an asset); expense ₹60,000 (depreciation).
7. (a) Capital; (b) revenue; (c) revenue.
8. Prepaid ₹30,000; current-year expense $= 1{,}20{,}000 - 30{,}000 =$ ₹ 90,000.
9. Outstanding expense: an expense in the Income Statement and a liability in the Balance Sheet.
10. Gain of ₹12,000, because van sales are not the dealer's ordinary activity.
11. Net purchases $= 1{,}50{,}000 - 10{,}000 =$ ₹ 1,40,000; net sales $= 2{,}40{,}000 - 15{,}000 =$ ₹ 2,25,000.
12. Bad debt ₹30,000; remaining debtors ₹4,70,000.
13. Trade discount $= 2{,}00{,}000 \times 15\% = 30{,}000$, so invoice ₹1,70,000. Cash discount $= 1{,}70{,}000 \times 4\% = 6{,}800$, so cash paid ₹1,63,200.
14. (a) Separate entity; (b) materiality; (c) accrual; (d) consistency (violated); (e) going concern;

(f) conservatism.

15. Basic principles, accounting standards and industry-specific practices; no, it differs by jurisdiction.
16. Because the business is expected to continue, the machine's cost can be spread over its useful life rather than judged by immediate sale value.
17. March, when the revenue is earned, not April when the cash arrives.
18. 12,00,000 − 4,50,000 = ₹ 7,50,000.
19. Concepts are fundamental assumptions; conventions are accepted practical customs. Concepts: separate entity, money measurement, dual aspect, going concern, accounting period, historical cost, matching, accrual. Conventions: materiality, conservatism, consistency, disclosure.
20. Accrual puts revenues and expenses in the period they are earned or incurred; matching ensures the expenses that helped earn the period's revenue are charged to that same period, so profit is not distorted.

32.4 Central takeaway of Part 2

Key Idea

Part 2 builds the **language** and the **rulebook** of accounting. The language (capital, liabilities, assets, expenditure, expense, income, trade terms, discounts) describes what a business owns, owes and earns. The rulebook (eight concepts and four conventions within GAAP) says how those things are recognised, measured and presented. These foundations lead directly to the **bases of accounting, the accounting equation and the rules of debit and credit**.